One Commodity, Half the Story

What Nepal's Export Boom to India Really Looks Like in the Data

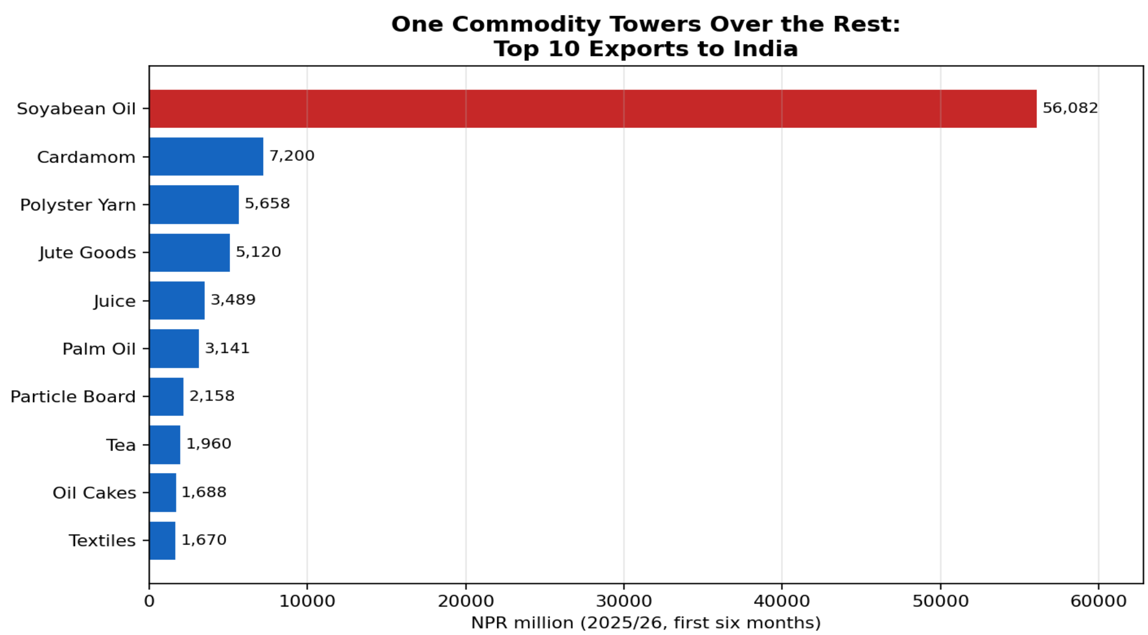
Nepal's exports to India are booming — up 66% in the first six months of fiscal year 2082/83 (2025/26). That is the kind of headline that makes news. But when you open the data behind the headline, a very different picture emerges: one where a single commodity carries the boom on its back, the typical export product tells a far more modest story, and simple statistics like the mean and the median end up disagreeing with each other by a factor of five. This post walks through that data.

About the Data

The analysis uses Nepal Rastra Bank's "Current Macroeconomic Situation" report based on six-month data of FY 2082/83, specifically Table 15: Exports of Major Commodities to India. The table reports export values in NPR million for 36 commodities across three windows: fiscal year 2023/24 (revised), 2024/25 (revised, annual and first six months), and the first six months of 2025/26 (provisional). All growth figures below compare six-month periods, which keeps the comparison seasonally fair.

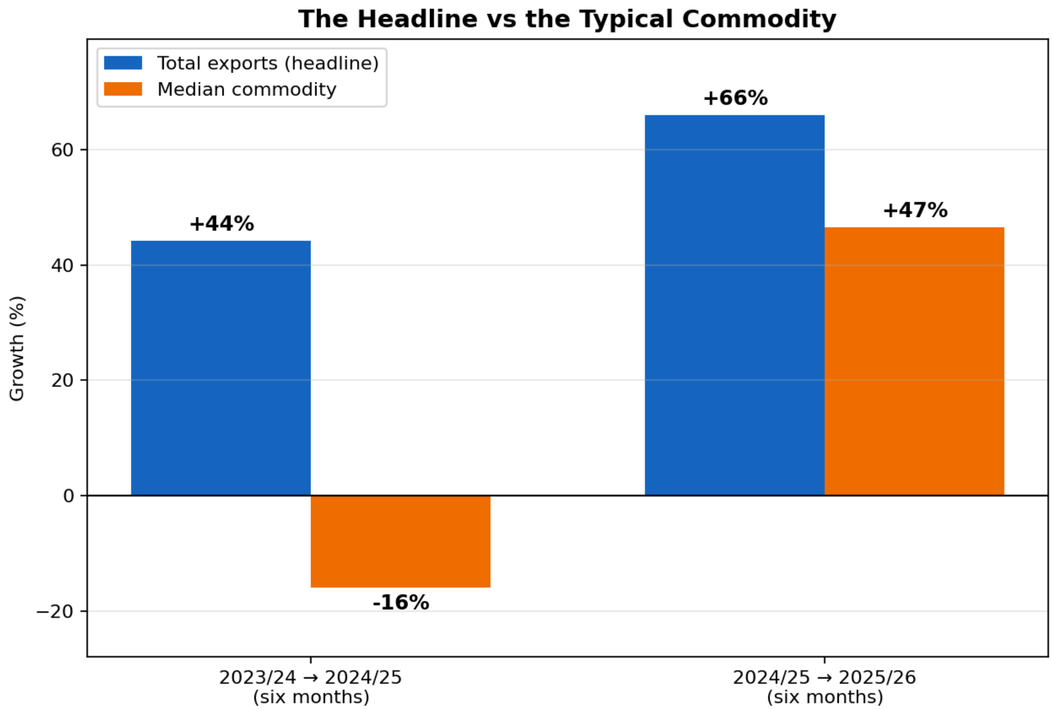
Finding 1: One Commodity Towers Over Everything

Soyabean oil exported NPR 56,082 million in six months — **57.5% of all of Nepal's commodity exports to India**, and nearly eight times the next-largest item, cardamom (NPR 7,200 million). Two years ago this commodity barely registered at NPR 415 million. Its rise is not a story of Nepali farms: it is largely a re-export business — importing crude edible oil from third countries, refining it, and selling it onward to India under favorable tariff treatment.



Finding 2: The Headline and the Typical Commodity Disagree

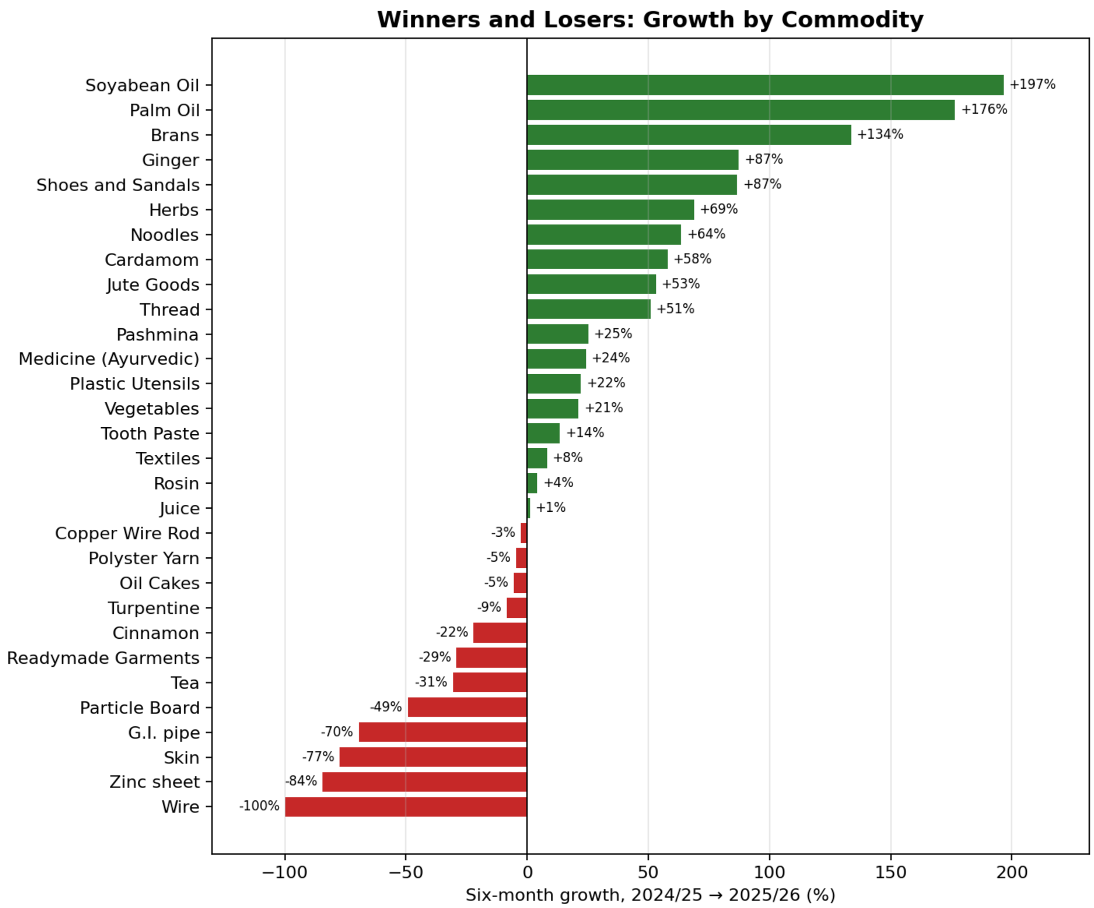
Growth of total exports is what makes headlines. But the total is dominated by whichever commodities are biggest. To see how a typical product is doing, track the median commodity instead — the one in the middle of the pack, immune to giants. The two measures tell strikingly different stories:



In 2024/25, total exports jumped 44% while the median commodity **shrank by 16%**. The entire boom came from the top of the distribution — the average product Nepal sells to India was doing worse even as the totals soared. The latest six months look healthier: the headline (+66%) and the median (+47%) finally moved in the same direction, and the gap narrowed. Growth is beginning to spread beyond the giants.

Finding 3: Winners and Losers

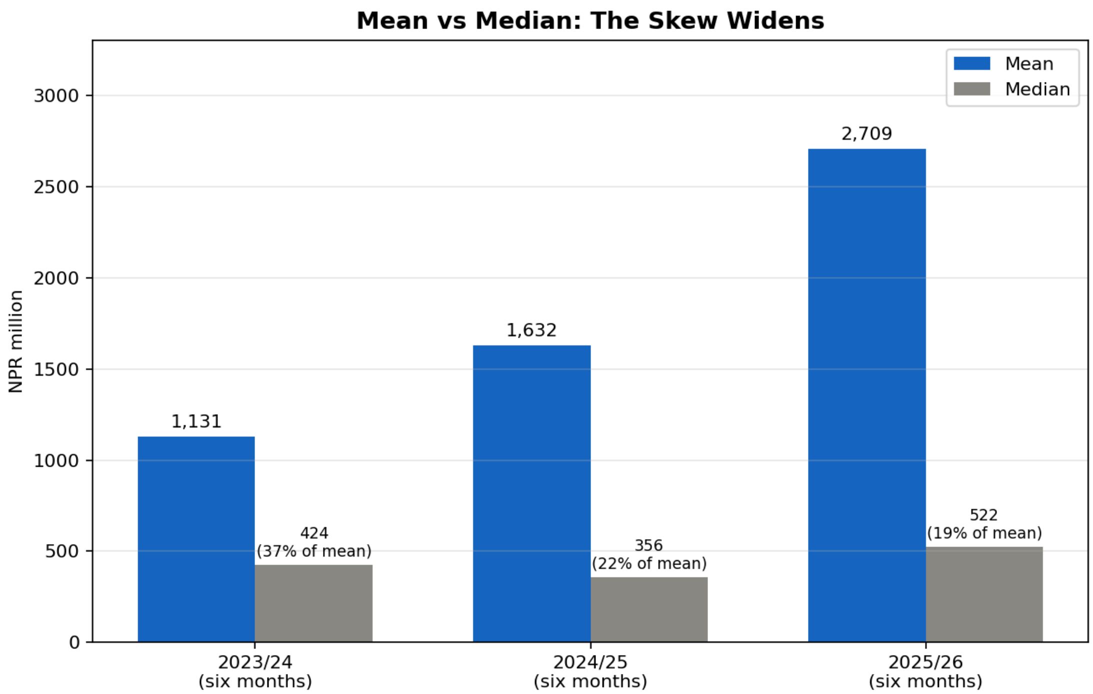
Behind the aggregates, individual commodities moved in opposite directions. Among meaningful commodities (at least NPR 50 million in either period), roughly two-thirds grew and one-third declined:



- **Fast growers:** soyabean oil (+197%), palm oil (+176%), fruits (+155%), brans (+134%) — but also traditional exports: ginger (+87%), shoes and sandals (+87%), herbs (+69%), cardamom (+58%), jute goods (+53%).
- **Sharp decliners:** zinc sheet (−84%), skin (−77%), G.I. pipe (−70%), particle board (−49%) — concentrated in metal and industrial goods — plus tea (−31%), one of Nepal's flagship products.

Finding 4: Mean vs Median — Quantifying the Skew

For the latest six months, the mean export value per commodity is NPR 2,709 million, but the median is only NPR 522 million — the mean is 5.2 times the median. When these two numbers diverge this far, the data is heavily right-skewed: most commodities export modest amounts while a handful of giants pull the average upward. The gap has widened over time — the median was 37% of the mean in 2023/24, and only about 19% now — which is precisely when soyabean oil entered the basket.



The practical lesson: for concentrated data like this, the median is the honest summary of a typical commodity. The mean mostly measures the outlier.

Interesting Observations

- Stability differs enormously across products. Juice, copper wire rod, and toothpaste show remarkably steady export values year after year — evidence of durable, established demand in India — while wire, zinc sheet, and G.I. pipe swing wildly, suggesting contract-driven or opportunistic trade.
- Several once-active commodities have effectively disappeared from the table: cattlefeed, mustard and linseed, marble slab, and wire all sit at or near zero in the latest period.
- The edible-oil pattern repeats: palm oil (+176%) follows the same re-export logic as soyabean oil, making the top of Nepal's export basket doubly exposed to Indian tariff policy.

Conclusion

Nepal's export growth to India is real, but its foundation is narrow. Almost all of the headline surge comes from one commodity whose business model depends on a tariff window that India could narrow at any time. If that window closes, total exports would fall back sharply toward what the median commodity earns.

The most encouraging signal in the data is not the +66% headline — it is the narrowing gap between the headline and the median. Traditional exports like cardamom, jute, ginger, and footwear are growing on their own strengths. For sustainable trade growth, Nepal needs more commodities that behave like these — and like the quietly dependable juice and copper wire rod — and less dependence on a single product whose fortunes are decided in someone else's tariff policy.

The mean tells the story of one extraordinary commodity. The median tells the story of the country. ***Read the median.***

Data source: Nepal Rastra Bank, Current Macroeconomic Situation (six-month data of FY 2082/83), Table 15. Values in NPR million; 2025/26 figures are provisional. Jute sub-categories excluded to avoid double counting.